

Novatech Co., Ltd. Employment Rules

Chapter 1 General Provisions

Article 1 (Purpose) These rules set out matters concerning the recruitment, service, working conditions, and service discipline of employees of Novatech Co., Ltd. (the "Company").

Article 2 (Scope) These rules apply to all employees working at the Company. However, part-time workers and dispatched workers are governed by separate rules or contracts.

Article 3 (Definitions) In these rules, "employee" means a person who has entered into an employment contract with the Company and provides labor, and "full-time" means an employee whose employment contract period is not fixed.

Chapter 2 Recruitment and Employment Contract

Article 10 (Recruitment) The Company hires from among applicants through document screening and interviews, and those hired sign an employment contract on their start date.

Article 11 (Probation) The probation period for a newly hired employee is 3 months, and the probation period also counts toward length of service. Job suitability is evaluated during probation, and permanent employment may be refused if the employee is judged unsuitable.

Article 12 (Contract Renewal) Whether to renew a fixed-term employment contract is decided by considering work performance and business need.

Chapter 3 Working Hours and Breaks

Article 14 (Working Hours) Weekly working hours cannot exceed 40 hours excluding break time. Daily working hours cannot exceed 8 hours; the start time is 09:00 and the end time is 18:00, with 12:00 to 13:00 as break time.

Article 15 (Annual Paid Leave) The Company grants 15 days of paid leave to an employee who worked at least 80 percent of the year. An employee who worked less than a year or attended less than 80 percent receives 1 day of paid leave for each month of perfect attendance. An employee with 3 or more continuous years of service receives an additional 1 day for every 2 years beyond the first year, and the total number of days including added leave is capped at 25 days. Annual paid leave is, in principle, granted at the time the employee requests, but the timing may be changed if it would seriously disrupt business operations. Unused paid leave may be carried over and used for 1 year. An employee who wishes to use paid leave must apply in writing to their department head at least 30 days before the intended date.

Article 16 (Half-day and Quarter-day Leave) An employee may split annual paid leave into half-day (4 hours) or quarter-day (2 hours) units. A half-day counts as 0.5 day of annual leave and a quarter-day as 0.25 day.

Article 17 (Sick Leave) When an employee suffers illness or injury for non-work-related reasons, they may use up to 60 days of sick leave per year, and 70 percent of the ordinary wage is paid for the first 30 days of the sick leave.

Chapter 4 Maternity Protection and Work-Family Balance

Article 18 (Maternity Leave) The Company grants a pregnant female employee 90 days of maternity leave (120 days for multiple births) before and after childbirth. The leave is arranged so that at least 45 days (60 days for multiple births) fall after childbirth.

Article 19 (Parental Leave) An employee raising a child aged 8 or under, or in the 2nd grade of elementary school or below, may apply for up to 1 year of parental leave. The parental leave period counts toward length of service.

Article 20 (Spouse Childbirth Leave) An employee whose spouse has given birth is granted 10 days of paid spouse childbirth leave.

Chapter 5 Leave of Absence and Reinstatement

Article 30 (Leave of Absence) An employee may apply for a leave of absence for reasons such as illness, military service, or family matters, and the Company reviews the reason and approves it.

Article 31 (Reinstatement) An employee whose reason for leave of absence has ended must apply for reinstatement without delay, and the Company reinstates them to their original position or an equivalent job.

[Appendix] Leave Types Summary

Leave Type	Days	Paid?
Annual paid leave	15-25 days	Paid
Sick leave	60 days / year	First 30 days at 70%
Maternity leave	90 days	Paid (within cap)
Spouse childbirth leave	10 days	Paid
Parental leave	Up to 1 year	Employment insurance benefit